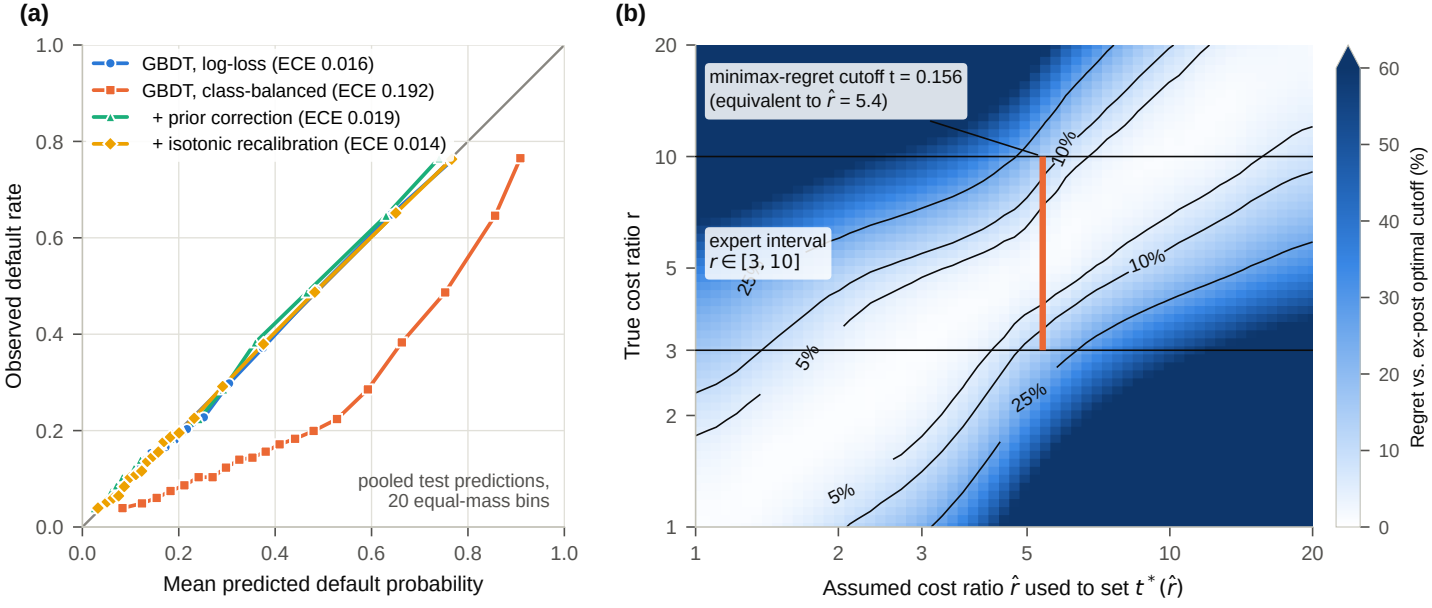

(a)
GBDT, log-loss (ECE 0.016)
GBDT, class-balanced (ECE 0.192)
+ prior correction (ECE 0.019)
+ isotonic recalibration (ECE 0.014)
pooled test predictions,
20 equal-mass bins
Observed default rate
Mean predicted default probability
0.0
0.2
0.4
0.6
0.8
1.0
(b)
minimax-regret cutoff t = 0.156
(equivalent to r̂ = 5.4)
expert interval
r ∈ [3, 10]
10%
10%
5%
25%
5%
True cost ratio r
Assumed cost ratio r̂ used to set t*(r̂)
1
2
3
5
10
20
Regret vs. ex-post optimal cutoff (%)
0
10
20
30
40
50
60